

Coins, as you see them today, were derived from gold and silver commodities. Since gold and silver were precious and were always prone to threats, there was a need to replace them with something that cannot be stolen so easily.

In the early stages of the life history of coins, they were made of gold and silver and represented a certain unit of gold or silver. As it happened with money receipts, the banks and the governments across the globe started mixing these precious metals with certain base metals like aluminium and copper to ease business and reduce theft risk.

Today the coins are anything but gold or silver. This is essentially how money originated.

Having now gone through the background and history of barter, commodities, money and coins, we have given ourselves a good perspective of money.

Now, let us come to the present day and look at some of the financial terms, definitions and formulas, which are critical for us to understand before we start looking at any kind of investments.

Let us start with the meaning of "returns"¹⁸ and how we can calculate them.

Technical Concepts in Financial Independence	
Evolution of Money	Cost Inflation Index
Absolute Returns	Taxes
Annualized Simple Interest Returns	Present and Future Value of Money
Compounded Annual Growth Rate (CAGR)	
Internal Rate of Return (IRR)	Rupee Cost Averaging
	Portfolio Asset Allocation

Absolute Returns

One of the most critical aspects to be measured on the investments you make is the Return On Investments (ROI). As stated previously, you have